

3.5 EFFECT OF A BALANCED BUDGET

Multiple Choice Questions

1997/AL/II/04 (modified)

Suppose a government reduces its expenditure on goods and services and at the same time increases its transfer payments to the public by the same amount, then

- A. (out of syllabus)
- B. aggregate demand would remain unchanged.
- C. aggregate demand would decrease.
- D. aggregate demand would increase by the same amount as the change in government expenditure.

2016/DSE/I/38

If the government simultaneously increases its expenditure and income tax by the same amount, the effect on the aggregate output is _____.

- A. contractionary
- B. neutral
- C. expansionary
- D. indeterminate

2021/DSE/I/40

Suppose a government finances its expenditure by collecting tax from the households and the amount of expenditure equals the amount of tax collected. The effect on aggregate demand will be _____.

- A. expansionary
- B. contractionary
- C. neutral
- D. indeterminate

Short & Structured Questions

1993/AL/II/7

If the new airport project costs HK\$170 billion over the next four years, and the government decides to finance this expenditure entirely by taxation without borrowing, will such a fiscal policy be expansionary, contractionary, or neutral? Explain.

(10 marks)

2009/AL/II/6(a) (modified)

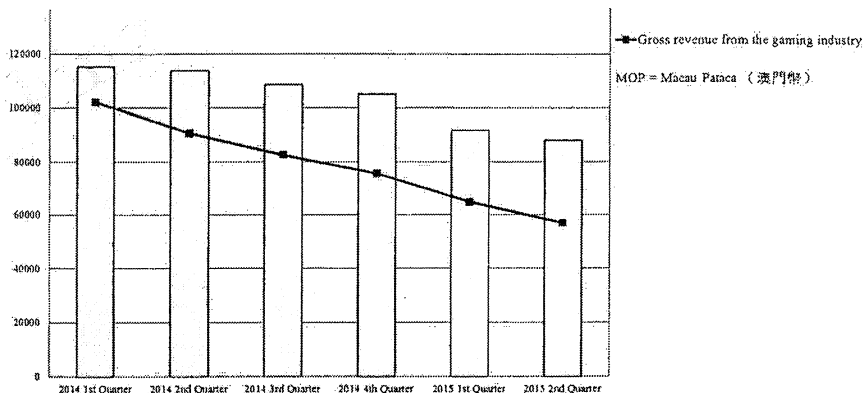
In the face of recent economic hardship, it has been proposed that the Hong Kong government introduces some stimulative measures. One sure measure is to inject cash directly into people's pockets by providing transfer payment.

- Explain how the above cash transfers would affect consumption and aggregate demand.
- Does it make any difference to the effect of aggregate demand if, instead of providing the cash transfers, the government simply uses the cash to increase its own expenditure? Explain your answer.

(5 marks)

2016/DSE/II/12

Gaming industry (博彩業) is a major sector in Macau's export of services. The following diagram shows the revenue from the gaming industry and the aggregate output of Macau.



- With reference to the above diagram, describe and explain the trend of the importance of the gaming industry relative to the aggregate output of Macau.

(2 marks)

The Macau government implements a cash-sharing scheme, under which every resident receives cash from the government.

The recent decline in the gaming industry results in a drop in tax revenue. Hence, the government considers reducing its spending on investment but still keeping the cash-sharing scheme. However, an economist suggests that the government should suspend the cash-sharing scheme and allocate the sum of money to investment instead.

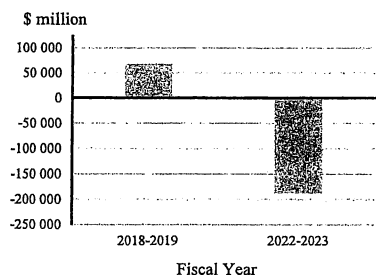
- Discuss the suggestion of the economist by giving arguments **FOR** and **AGAINST** it.

(5 marks)

2024/DSE/II/13(a)

Hong Kong experienced an economic downturn because of the Covid-19 pandemic. It still faces various challenges on its path to resumption of normalcy after the pandemic.

Source A: Fiscal balance of the Hong Kong Government



Source B: Exchange rate of US dollar (USD) to Renminbi (RMB) before and after the pandemic

Date	Exchange Rate
1 April 2019	USD 1 = RMB 6.71
1 November 2023	USD 1 = RMB 7.32

Source C: News extract about the catering industry in Hong Kong in 2023

According to a representative of the catering industry in Hong Kong, local restaurants are unable to recruit enough waiters even though they are offering wages that are more than 50% above the statutory minimum.

Source D: Wage rates of waiters in Hong Kong in 2023

Statutory minimum wage rate	\$40 per hour
Average wage rate of waiters	\$62.4 per hour

Source E: Some data and views on the Hong Kong economy

 A banker	Influenced by the contractionary monetary policy in the US, the interest rate in Hong Kong rose drastically from mostly below 2% in 2018 to over 5% by the end of 2023.
 An economist	The inflation rate in the Mainland remained lower than that in Hong Kong throughout 2023. Negative growth in the general price level was recorded in October and November in the Mainland.
 A government official	Reviving the night-time economy is essential in facilitating the economic recovery in the short term, whereas innovation and technology development is a significant engine for driving high-quality economic growth in the medium-to-long term.

- (a) Refer to Source A. How may an economic downturn affect the fiscal balance of the Hong Kong Government? Explain your answer with reference to the possible effects of an economic downturn on the government's revenue and expenditure.

(4 marks)